Emiliano Rinaldi

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Education

London School of Economics 2021 – 2027 (expected)
MRes/PhD in Economics

Bocconi University 2017 – 2020
MSc in Economics and Social Sciences, 110 cum laude

Bocconi University 2014 – 2017
BSc in Economics, 110 cum laude

Research Fields

Primary	Urban Economics, Environmental Economics
Secondary	Development Economics

References

Daniel Sturm
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Clare Balboni
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Gharad Bryan
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Job Market Paper

Rebalancing Water? Evidence from Day Zero in Cape Town
with Pol Simpson

Funding: IGC SPF (£22,750); Weiss Fund ($7,200); Sticerd (£5,000)

Abstract: During a drought, a city must allocate a large reduction in water between households and firms. The benchmark of a single clearing price may fail if firms face distortions in their ability to substitute away from or adjust to the cost shock. We study this choice during Cape Town's 2016-2018 drought, where the price of water for firms tripled. Using detailed tax data, we find that the reduction in water use by firms mainly came from establishments closing, and this was driven by a combination of wage rigidities and credit constraints. Workers who were employed in these firms remained out of formal work for years, imposing real welfare costs on households. We build and estimate a dynamic model of the city to understand the role of these distortions and derive the price wedge between households and firms that minimises the cost of the drought. We find that applying the model inferred price wedge, the city could have lowered the welfare cost of the drought by 52%.

Working Papers

Who Benefits from Local Public Spending? House Prices and Mobility in London

Abstract: The level of local public spending is a key input in local services, the quality of which can be capitalised into local house prices. I study London, where borough councils provide local services inside a common housing and labour market and where borough-tied housing and support hold a large share of residents in place. Using the 2010 reform to borough funding, I compare quality-adjusted house-price changes for homes near the same borough boundary but exposed to different spending shocks. I find that a 1 percent increase in borough spending raises house prices by 0.092 percent. I use this estimate to inform the parameters of a quantitative spatial model in which local government spending funds local public goods. I then use model counterfactuals to evaluate the welfare effects of the major funding changes under the announced Fair Funding Review reforms. Under full residential mobility, average welfare effects are small. With limited mobility, welfare differs by starting borough, as local price changes only partly offset the change in welfare from the local spending shock. For a resident who cannot move, about 70 percent of her borough's funding change remains after prices adjust.

Work in Progress

Climate Security and Informal Settlements: Evidence from Sierra Leone
with Gharad Bryan, Abou Bakarr Kamara, and Nick Tsivanidis

Funding: IGC SPF (£18,650); IGC (£116,000); STEG (£99,600); GSOS (£98,000); Sticerd (£5,000)

Productivity and the Grid: The Welfare Cost of Spatially Unequal Electricity in Accra

Funding: IGC SPF (£11,500); STEG PhD (£11,550)

Conference Presentations

2026	NBER Summer Institute (Urban); Urban Economics Association Annual Meeting; Environment Week; LSE Environment Camp; Queen Mary PhD Conference
2025	Urban Economics Association Annual Meeting; Collegio Carlo Alberto PhD Conference

Teaching

Undergraduate	Microeconomics (Class Teacher Award, 2023); Research Seminar on Political Economy (Class Teacher Award, 2025); Macroeconomics; Development Economics; International Economics
Master's	Development Economics (Class Teacher Award, School of Public Policy, 2025)

Professional Service

Referee: Journal of Urban Economics

Experience

Research Assistant	Profs Gilat Levy & Ronny Razin, Prof Guido Tabellini, Prof Massimo Morelli

Additional Information

Fellowships	LSE PhD Scholarship (2021 – 2027)
Languages	Italian (native), English (fluent), French (intermediate)
Programming	R, Python, Stata, MATLAB